

Retail Equity Research

L&T; Technology Services Limited

Generated: 13 June 2026
Sector: Engineering and Technology Services

Recommendation
Positive

Company Overview

L&T; Technology Services (LTTS) is a global leader in engineering and technology services and a listed subsidiary of Larsen & Toubro. The company offers design, development, testing, and sustenance services across products and processes, serving 69 Fortune 500 and 57 top ER&D; companies in industrial products, medical devices, transportation, telecom & hi-tech, and process industries.

Investment Thesis

- Record high Large Deal TCV of ~USD 300 Mn reflects strong client confidence in next-gen offerings and continued business momentum.
- Strategic 'Go Deeper to Scale' and multi-segment approach drives resilient growth, with the Sustainability segment achieving double-digit annual growth and the Tech segment remaining robust.
- Consolidated leadership in engineering and industrial AI through investments in Gen AI, Agentic AI, and Physical AI, evidenced by new platform launches and early monetization.

Financial Metrics

Metric	Value
Revenue	Rs.29,795 million
Revenue Growth	15.8% YoY
EBITDA	Rs.4,908 million
EBITDA Margin	16.5%
PAT	Rs.3,287 million
PAT Growth	2.8% YoY

Outlook

The company expects revenue and EBIT margins to improve in H2 FY26 compared to H1, driven by an increased order book and focus on resilient, profitable growth. Management aspires for double-digit growth in FY26 and reiterates its medium-term outlook of USD 2 Bn revenue.

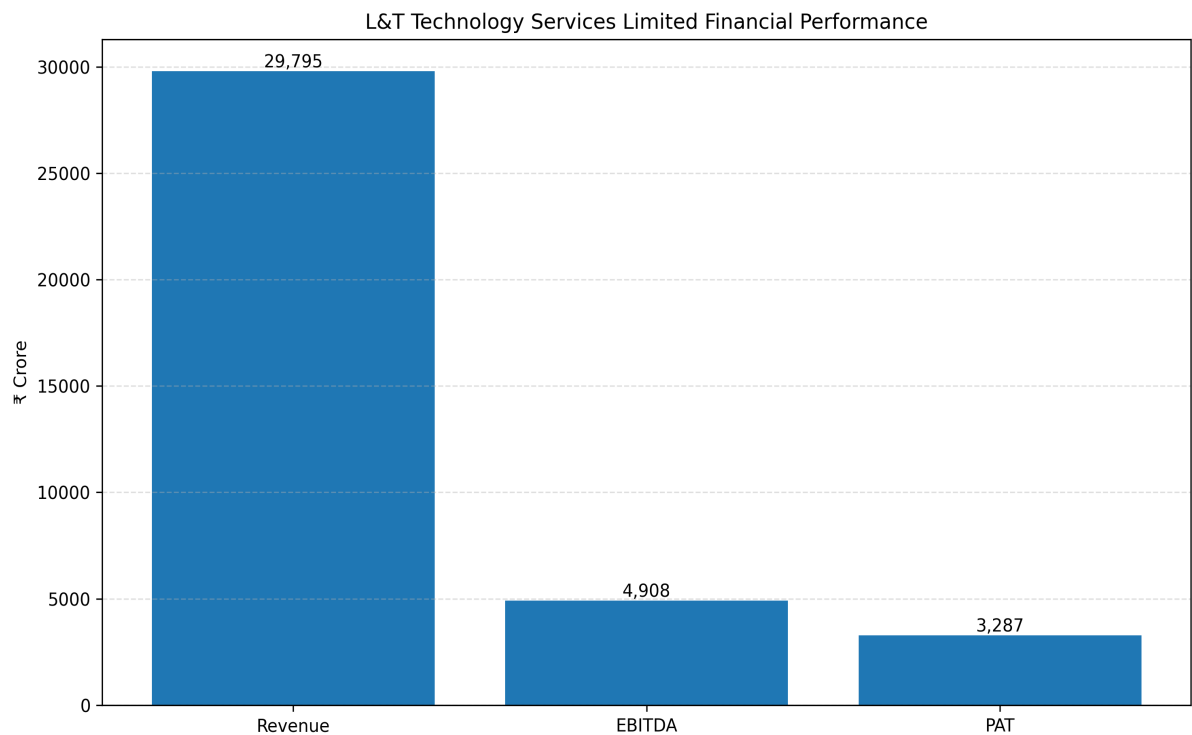
Key Highlights

- Revenue at ■29,795 million, marking 15.8% YoY and 4.0% QoQ growth in Q2FY26.
- Achieved record high Large Deal Total Contract Value (TCV) of ~USD 300 Mn in the quarter.
- Net profit stood at ■3,287 million, up 2.8% YoY and 4.1% QoQ.
- Patent filings crossed 1,600, with 216 patents specifically in AI/Gen AI.

Growth Drivers

- Continued strong momentum in large deal wins and an increased order book across various segments.
- Successful 'Go Deeper to Scale' and multi-segment strategy, particularly in the Sustainability and Tech segments.
- Leadership in AI-first delivery model, with targeted investments in Gen AI, Agentic AI, and Physical AI, leading to new platform launches and early monetization.

Financial Performance



Risks

- Shifting market dynamics and geopolitical unpredictability.